

faster,” he says.

A lack of R&D and innovation, inability to scale up, inadequate land reforms and delays in clearances continue to plague entrepreneurs who wish to set up factories in the country, say experts.

Sanjay Kathuria, Visiting Senior Fellow, Centre for Social

and Economic Progress and Co-Founder, Trade Sentinel, says India hasn’t met the target of scaling up manufacturing to 25% of GDP because it has not addressed the core problems of land, labour, regulations and skills. India continues to face the problem of a very large informal sector and the Missing

Middle (medium size enterprises) that can provide good quality inputs to larger firms, he says.

“The main issue remains whether we have changed the disincentives against firms to gain scale. While there have been serious attempts by the government at deregulation in the last one year, we are yet to see a turnaround in private investments; and net FDI in the last few years has been in a dismal state,” he says, adding that we have not done enough to make land acquisition easier for factories. “The other issue is around trade. We remain reluctant liberalisers.”

While China remains the leader in manufacturing, even smaller countries like Vietnam and Bangladesh seem to have cracked the code and are producing at scale and competitive prices.

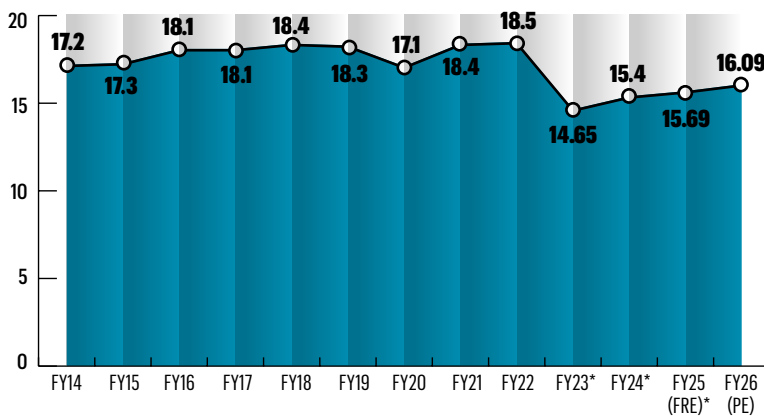
N.R. Bhanumurthy, Director, Madras School of Economics concurs and says manufacturing has been an area India has not been able to crack. “We need to improve our competitiveness. We have done capital market and labour reforms, but land reforms are still in the nascent stage,” he says.

Besides ensuring greater self-reliance, a broad-based ramp-up of manufacturing will also boost economic growth that has slowed down in recent years and give meaningful employment to the workforce.

With this in mind, the government launched the Make in India campaign in September 2014, hoping to turn the country into a global manufacturing hub. Over the years, it took several initiatives—Production Linked Incentives, Employment Linked Incentives, a ₹1 lakh crore Research Development and Innovation Fund, two rounds of the Jan Vishwas Act to lessen the fear of jail for minor offences, semiconductor a policy, support to MSMEs,

AN UPTICK

● Share of manufacturing yet to reach close to the target of 25% of GVA



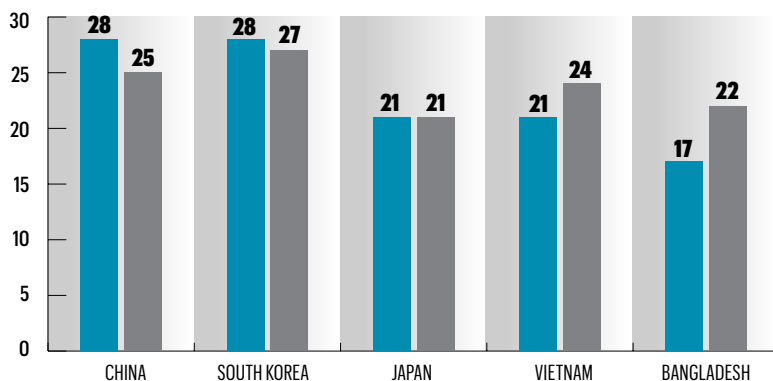
*DATA FOR FY23- FY26 IS BASED ON NEW GDP SERIES 2022-23

FRE FIRST REVISED ESTIMATE, PE: PROVISIONAL ESTIMATE

SOURCE PARLIAMENT PAPERS, MOSPI

A GLOBAL COMPARISON

● Share of manufacturing in GDP has dipped for many big nations in 10 years



● 2015 ● 2024

*DATA % SHARE OF MANUFACTURING TO GDP IN 2015

SOURCE CAREEDGE RATINGS